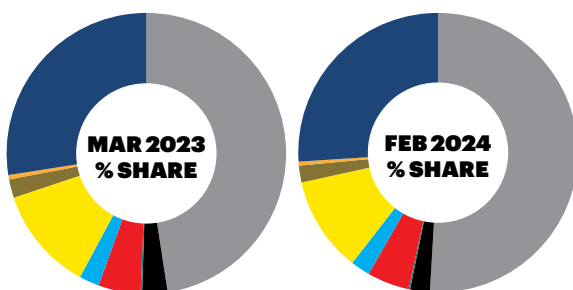


PERSONAL LOANS SPREAD

● Gold loans make up 1.9% of total personal loans pie of banks ● While the gold loan share has come down from March 2023, the home loan share has gone up



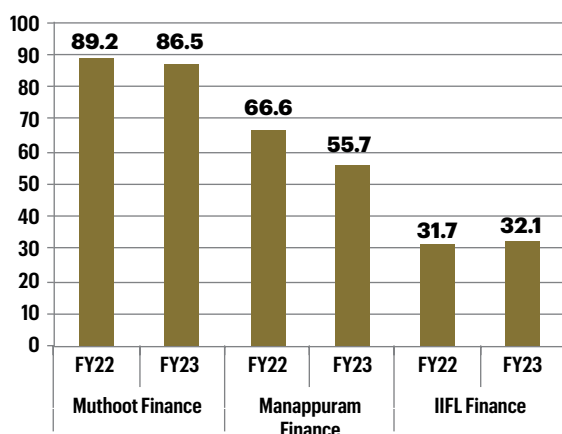
- HOUSING
- ADVANCES AGAINST FIXED DEPOSITS
- ADVANCES TO INDIVIDUALS AGAINST SHARE, BONDS, ETC.
- CREDIT CARD OUTSTANDING
- EDUCATION
- VEHICLE LOANS
- LOANS AGAINST GOLD JEWELLERY
- CONSUMER DURABLES
- OTHER PERSONAL LOANS

SOURCE CMS

NBFC HEALTH CHECK

● Muthoot Finance has the highest AUM mix of gold loans among the big NBFCs ● Other players may see an increase in their gold loan books

GOLD AUM MIX (%)



SOURCE NIRMAL BANG

That's why the gold loans business moves in tandem with the price of the yellow metal. People realise that their gold is worth more as collateral, allowing them to get bigger loans for the same quantity of gold. That's true even for those who have already pledged gold and availed of a loan. When gold prices go up, the LTV ratio goes down, meaning borrowers can get more credit for the same amount of gold. But if gold prices fall, the reverse is true, borrowers might have to pay back their loans sooner or put up more collateral to keep the LTV below the 75% limit.

"Except for the period FY13-17 (when RBI introduced restrictions on gold lending and gold prices were in decline), the 15-year correlation of Muthoot Finance and Manappuram Finance AUM with gold prices has been 99% and 96%, respectively," says the Nirmal Bang report.

The second reason for the surge in gold loans is that the stigma around pawning gold seems to be fading. Gold loans aren't just for emergencies anymore. They're becoming a trendy way for urban youth to fund their dreams.

Rajesh Shet, Co-founder and CEO of gold loans platform SahiBandhu, says, "Taking out a gold loan has traditionally been seen as a last resort for financial emergencies. However, in recent years, borrowing against gold has become increasingly popular, especially among millennials. Many young people are now willing to utilise the gold stored in their lockers to address various financial needs."

George Jacob Muthoot, Chairman and Whole-time Director of Muthoot Finance, too, highlighted this trend in his firm's annual report for FY23. "We've seen a 50% jump in demand from the young... These kids are all about experiences over possessions. And that's great news for us because it shows that the demand for gold loans isn't going anywhere."

Of course, it helps that gold loans are cheaper than personal loans. Gold loans are typically offered at 8-30% interest rate, compared with 12-48% for other personal loans. In the case of gold loans, even processing fees and foreclosure charges are much lower than with the other loans.

"Gold loans are quick, convenient, and involve minimal paperwork. Plus, you can even get doorstep service. Unlike other loans that require credit checks and income verification, gold loans are hassle-free. It's all about unlocking the value of idle assets and giving the economy a boost," says Sumit Sharma, Founder and CEO of gold loan dispenser Radian Finserv.